QPCODE:24900017

MAHATMAGANDHIUNIVERSITY,KOTTAYAM

FIRST SEMESTER MGU-UGP (HONOURS) REGULAR EXAMINATION NOVEMBER 2024

FirstSemester

CoreCourse-MG1CCRBBA101 FINANCIAL ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration:2Hours MaximumMarks:70

Remember(K),Understand(U),Apply(A),Analyse(An),Evaluate(E),Create(C),Interest(I), Appreciation (Ap), and Skill (S)

Studentsshouldattemptat leastonequestionfromeachcourseoutcometoenhancetheiroverall outcome attainability.

[LearningDomain][CONo(s)]

Part A
Short Answer Type Questions. Answerany5outof8questions. Each question carries 2 marks.

1. Describe the accountingequation. [U] [1]

The **accounting equation** is the foundation of accounting and represents the relationship between a company's resources and the claims on those resources. It is expressed as:

Assets = Liabilities + Equity

- **Assets**: What the business owns (e.g., cash, buildings, equipment).
- **Liabilities**: What the business owes to others (e.g., loans, creditors).
- **Equity**: The owner's claim on the business (e.g., owner's capital, retained earnings).

Note: Award two marks for this concept. Presented as equation only award 1 mark.

2. Namethreekeyfunctionsofaccounting. [U] [1]

- Recording (journal)
- Classifying (Ledger)
- Summarising (Trial balance)
- Finding results (P&L and balance sheet)
- Communicating results
- Comparing results.

Consider the above points for two marks. .5 marks for each point and award .5 marks for exam fairness.

3. Translateagivenbusinesstransactionintodebitandcreditentries. [U] [3]

a) Identify the Accounts Involved

b) Determine the Effect on Each Account:

c) **Apply the Golden Rules of Accounting or the accounting equation:**

Anil started business with Cash
Cash account Dr.
To Capital account.

Consider the above points for two marks. Can award 2 marks for the correct entry.

4. Interprettherelationshipbetweenledgerentriesandtrialbalance. [K] [3]

a) <u>Ledger Entries:</u>

- The **ledger** records individual transactions in specific accounts after being classified from the journal.
- Each ledger account has **debit** and **credit entries** based on the double-entry accounting system.
- Example: Sales, cash, or accounts payable accounts.

b) **Trial Balance**:

- The **trial balance** summarises all ledger accounts and their balances (debit or credit).
- It is prepared at a specific time to check the accuracy of the bookkeeping process.

Consider the above points for two marks

5. Whatdoyoumeanbyaccruedincome? [U] [5]

Accrued income refers to income that has been earned by a business but has not yet been received or recorded in its books by the end of an accounting period.

Examples:

- Interest earned.
- Rent earned but not yet collected.

Consider the above points for two marks

6. Whatispaid-upcapital? [U] [2]

Paid-up capital is the amount of money a company has received from its shareholders. It represents the portion of the company's authorized capital that has been fully paid for by the shareholders.

Called up capital- calls in arrears = Paid up capital

7. HowdoestheCompaniesAct2013define"currentassets"intheBalance Sheet? [U] [2]

Under the **Companies Act 2013**, **current assets** are defined as assets that are expected to be converted into cash, sold, or consumed within **one year** or within the **normal operating cycle** of the company, whichever is longer.

Consider the above points for two marks

8. Inaverticalformatoftheincomestatement,whereisthenetprofitorloss shown? [K] [2]

In the vertical format of the income statement, all items are listed sequentially, starting from revenues and deducting expenses step by step. The net profit or net loss is shown as the final item at the bottom of the statement.

_____ Company Ltd.

Vertical Income Statement for the year ended _____

Particulars	Amount (₹)	Amount (₹)
Income		
Sales	xxx	
(-) Sales Return	xxx	
Net Sales		xxx
Less Cost of Goods Sold		
Opening Stock	xxx	
Add : Purchases	xxx	
Add : Wages	xxx	
Add : Carriage Inward	xxx	
Add : Direct Exp.	xxx	xxx
Less Closing Stock	xxx	
Net Cost of Goods Sold		xxx
Gross Profit Net Sales - Net Cost of Goods Sold)	xxx	
Less : Operating Exp.		
a. Administrative Exp.	xxx	
b. Finance Exp.	xxx	
c. Selling Exp.	xxx	
Total Operating Expenses		xxxx
Operating Profit (Gross Profit - Operating Expenses)		xxxx
Add : Non-operating Income		xxx
Less : Non-operating Exp.		(xxxx)
Net Profit Before Tax		xxx
Less : Tax (Charged on Net profit Before Tax)		xxx
Net Profit After Tax		xxx

Part B

Short Essay Type Questions Answerany4outof6questions.
Eachquestioncarries 5 Marks.

9.. **Developanaccountingequation.** **[A] [1]**

		Creditors	Capital/ Equity	Cash	Furniture	Goods	Bank	
1	Started the business		120000	120000				
			120000	**120000**				**1 mark**
2	Purchased furniture			-20000	20000			
			120000	**100000**	20000			**1 mark**
3	Bought raw materials on credit	60000				60000		
		60000	**120000**	**100000**	**20000**	**60000**		**1 mark**
4	Paid to Suresh	**30000**		**-30000**		**60000**		
		30000	**120000**	**70000**	**20000**	**60000**		**2 marks**
5			**150000**	**150000**				

10. Comparesingle-entryanddouble-entrysystemsinthecontextofjournal entries. **[U] [3,4]**

Aspect	Single-Entry System	Double-Entry System
Transaction Recording	One entry per transaction (e.g., only cash received).	Two entries per transaction (debit and credit).
Complexity	Simple and easy to use.	More complex and formal.
Accuracy	Less accurate and prone to errors.	More accurate with built-in error detection.
Books of Account	Cash book, sometimes a general ledger.	Journal and Ledger, Trial balance, Financial Statements.
Detection of Errors	Difficult to detect errors due to lack of checks.	Easier to detect errors through trial balance and other reconciliations.
Financial Statement	Limited ability to generate comprehensive financial statements.	Can generate detailed balance sheet and income statement.
Suitability	Suitable for small businesses with fewer transactions.	Suitable for all businesses, especially large ones.

One mark each for relevant points.

11. ComparetherolesofthePurchasesbookandtheSalesbookinrecording business transactions.[U] [3,4]

- **Purchases Book**: Records credit purchases of goods or inventory intended for resale. It focuses solely on transactions where goods are acquired on credit.
- **Sales Book**: Records credit sales of goods or inventory to customers. It captures transactions where goods are sold on credit.
- **Purchases Book**: Indicates an increase in liabilities (creditors) as goods are purchased on credit.
- **Sales Book**: Indicates an increase in assets (debtors) as goods are sold on credit.

The Purchases Book and Sales Book play complementary roles in tracking business activities. While the Purchases Book ensures accurate accounting for goods bought on credit, the Sales Book ensures the same for goods sold on credit. Together, they provide essential data for managing a company's working capital and financial health.

12. Describeindetailhowthebalancesheetisgroupedandmarshalled.[K] [5]

The **Balance Sheet** is a financial statement that presents a company's financial position at a specific point in time. It is grouped and marshalled in a structured way to ensure clarity and relevance, enabling stakeholders to assess the financial health of the business.

Grouping in the Balance Sheet
Non Current assets, Non Current liability
Current assets Current Liability
Marshalling in the Balance Sheet
(A) Order of Liquidity:

- Items are arranged based on how quickly they can be converted into cash (assets) or are due for payment (liabilities).
- **Asset Arrangement**:
    1. Cash and cash equivalents
    2. Trade receivables
    3. Inventory
    4. Non-current assets (e.g., buildings, machinery)
- **Liability Arrangement**:
    1. Trade payables
    2. Accrued expenses
    3. Short-term borrowings
    4. Long-term debt
- **Outcome-based focus**: This format emphasizes liquidity management, showing the company's ability to meet its obligations as they fall due.

(B) Order of Permanence:

- Items are arranged based on their durability or permanence in the business.
- **Asset Arrangement**:
    1. Non-current assets (e.g., land, buildings, patents)
    2. Current assets (e.g., cash, receivables, inventory)
- **Liability Arrangement**:
    1. Non-current liabilities (e.g., long-term loans)
    2. Current liabilities (e.g., trade payables)

13. DescribethemainsectionsofaBalanceSheetaspertheCompaniesAct, 2013. [U] [2]

XXXXX PRIVATE LIMITED
Balance Sheet as at 31-03-2016

Particulars	Note No.	As at 31-03-2016	As at 31-03-2015
I.EQUITY AND LIABILITIES			
(1) Shareholder's funds			
(a) Share Capital			
(b) Reserves and surplus			
(c) Money received against share warrants			
(2) Share application money pending allotment			
Total Shareholders Funds			
(2) Non-current liabilities			
(a) Long-term borrowings			
(b) Deferred tax liabilities (Net)			
(c) Long-term Provisions			
Total Non Current Liabilities			
(3) Current Liabilities			
(a) Short-term borrowings			
(b) Trade payables			
(c) Other current liabilities			
(d) Short-term provisions			
Total Current Liabilities			
TOTAL EQUITY & LIABILITIES			
II. ASSETS			
(1) Non-Current Assets			
(a) Fixed assets			
(i) Tangible assets			
(ii) Intangible assets			
(iii) Capital work-in-progress			
(iv) Intangible assets under development			
(b) Non-Current investments			
(c) Deferred tax assets (net)			
(d) Long term loans and advances			
(e) Other non-current assets			
Total Non Current Assets			
(2) Current Assets			
(a) Inventories			
(b) Trade Receivables			
(c) Cash and Bank Balances			
(d) Short-term loans and advances			
Total Current Assets			
TOTAL ASSETS		-	-

The accompanying notes No 1 to 23 form an integral part of the Financial Statements

14. Whataretheprimarydifferencesindatapresentationbetweenthevertical and horizontal formats of the balance sheet and income statement?[U] [2]

Vertical Format:

- Data is presented in a **top-to-bottom** sequence.
- Items are listed in a single column, grouped and marshalled logically.
- Easier to read and aligns with modern financial reporting standards, such as IFRS and Companies Act, 2013.

Horizontal Format:

- Data is displayed **side-by-side** across two columns or sections.
- Commonly divides items into **debit (left)** and **credit (right)** sides.
- Traditional format, less commonly used in modern financial reporting.

Part C

Essay Type Questions Answerany2outof4questions. Each question carries 20 marks.

15. Describefiveprimarybusinessstakeholdersanddiscusshoweachuses financial information to make informed decisions. [U] [1]

Stakeholder	How They Use Financial Information	Key Decisions
Investors	Assess profitability, growth, and risks.	Buy, hold, or sell shares.
Lenders/Creditors	Evaluate solvency, liquidity, and repayment capacity.	Approve loans or extend credit.
Management	Monitor performance, allocate resources, and plan strategies.	Launch projects or cut costs.
Employees	Understand job security, compensation prospects, and growth opportunities.	Stay with or leave the company.
Government/Regulators	Ensure compliance with tax laws and regulations; use for policy-making.	Assess taxes, impose penalties, set policies.

Award 4 marks for each point with relevant explanation and examples.

16. **Accounting Equation** **[A] [1]**

			Capital/ Equity	Cash	Prepaid Rent	Furniture	Goods/books	Bank	
1	Vinay started the business		400000	400000					
			400000	**400000**					**2 marks**
2	Rented a shop			-100000	100000				
			400000	**300000**	**100000**				**2 marks**
3	Bought Book shelves			-20000					
			400000	**280000**	**100000**	**20000**			**2 marks**
4	Purchased books on credit	**60000**					60000		
		60000	**400000**	**280000**	**100000**	**20000**	**60000**		**2 marks**
5	Deposited to bank			-150000				150000	

		60000	400000	**130000**	100000	20000	60000	150000	**4marks**
6	Bought chairs and tables			-15000		15000			
		60000	400000	**115000**	100000	35000	60000	150000	**4marks**
7	Bought additional books			-90000			90000		
		60000	400000	**25000**	100000	35000	150000	150000	**4marks**
			460000	**460000**					

17.**[A] [5]**

Trading and profit and loss account for the year ending as on 31st March

Particulars	Amount	Particulars	Amount
To Opening stock	30000	By Sales	125000
To Purchases	50000	By closing stock	22000
To Direct expenses	5000		
To Gross profit c/d	62000		
	147000		**147000**
To Salary	4500	**By Gross profit B/d**	62000
To Insurance	3500	By Rent received	7500
To Interest paid	2000		
To Postage and Telegram	1000		
To Carriage outward	4000		
	54500		
	69500		**69500**

Award 15 marks if items are properly placed and balance availed as expressed here.

Balance sheet as on ....

Liabilities		Amount	Assets	Amount
Capital	120000		Building	85000
Add Netprofit	54500	174500	Motor Vechile	35000
			Closing stock	22000
Loan from Bank		20000	Cash at Bank	45000
Creditors		40000		
		234500		187000

Found some mistakes, hence hall be awarded the rest of the 5 marks based on the proper placement of balance sheet items.

18. **[U] [3,4]**

Triple Column Cash Book

Date	Particulars	Discount	Bank	Cash	Date	Particulars	Discount	Bank	Cash
1/11/2023	To balance B/d		15000	7000	4/11/2023	By Suppliers A/c	150	3000	
2/11/2023	To Sales			4500	7/11/2023	By Rent			1800
9/11/2023		200		2500					
						By Balance C/d		12000	12200
		200	15000	14000			150	15000	14000

	To balance B/d		12000	12200					

Award 20 marks if items are properly placed and balance availed as expressed here.
For partial attempt award as its merit.*Award 10 marks for CO3 and 10 to CO4*

Question No	1	2	3	4	5	6	7	8	
CO	1	1	3	3	5	2	2	2	Total
Marks	2	2	2	2	2	2	2	2	16

Part B

Question No	9	10		11		12	13	14	
CO	1	3	4	3	4	5	2	2	
Marks	5	2.5	2.5	2.5	2.5	5	5	5	30

Part C

Question No	15	16	17	18	
CO	1	1	5	3	4
Marks	20	20	20	10	10

	80
	126

CO1	49
CO2	16
CO3	19
CO4	15
CO5	27
Total mark	126

Scheme prepared by:
Jithesh K S
Asst Professor
MES College Erumely
8606845479